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E4
Computing corporation tax liability



Lecture example 1 - Solution

A Ltd: Augmented profits=£30,000 + £3,000=£33,000 < Lower limit £50,000

Corporation tax =£30,000× 19%=£5,700

BLtd: Augmented profits=£240,000 + £12,000=£252,000 > Upper limit £250,000

Corporation tax = £240,000× 25%=£60,000

C Ltd: Augmented profits=£180,000, lower limit< £180,000<upper limit

Corporation tax = £180,000× 25% - (£250,000 - £180,000) × 3/200=£43,950

OR

Corporation tax = £50,000× 19% + (£180,000 - £50,000) × 26.5%=£43,950

Lecture example 2 - Solution

Augmented profits=£90,000+ £3,000=£93,000	
Lower limit = £50,000 × 9/12 = £37,500	
Upper limit = £250,000 × 9/12=£187,500	
90,000 at 25%	22,500
Marginal relief (187,500-93,000)× 3/200 × 90,000/93,000	(1,372)
	21,128
FY 2024 （2025.1.1-2025.3.31）	
21,128× 3/9	7,403
FY 2025 （2025.4.1-2025.9.30）	
21,128× 6/9	14,085
Corporation tax 7,043+14,085	21,128

Lecture example 3 - Solution

Lower limit = £50,000/3 = £16,667

Upper limit = £250,000/3 = £83,333

Y/e 31 March 2026	£
75,000 at 25%	18,750
Marginal relief (83,333 - 75,000) × 3/200	(125)
Corporation tax	18,625

Lecture example 4 - Solution

(a) As a sole trader	£
Profits	80,000
Less personal allowance	(12,570)
Taxable income	67,430
Income tax	
37,700×20%	7,540
(67,430 − 37,700)×40%	11,892
	19,432
Class 4 (50,270 − 12,570)×6%	2,262
(80,000 − 50,270)×2%	595
	22,289
Net income 80,000 − 22,289	57,711

Lecture example 4 - Solution

b)Through a company	£
Profits	80,000
Less director's salary	(8,000)
Less employer's Class 1 contributions (£8,000-£5,000)×15%	(450)
Taxable total profits	71,550
Less corporation tax (Working 1)	(15,330)
Net profits	56,339
Working 1: Corporation tax	£
Lower limit £50,000 < Augmented profits £71,550 < Upper limit £250,000	
72,000 at 25%	17,888
Marginal relief (250,000 - 72,000)×3/200	(2,677)
Corporation tax	15,211

Lecture example 4 - Solution

	NSI	DI	Total
	£	£	£
Employment income	8,000		
Dividend		56,339	
Net income	8,000	56,339	64,339
Less personal allowance	(8,000)	(4,570)	(12,570)
Taxable income	0	51,769	51,769
Income tax:			
500×0%			0
(37,700-500)×8.75%			3,255
(51,769-37,700)×33.75%			4,748
Income tax liability			8,003

Lecture example 4 - Solution

	£
Salary	8,000
Dividend	56,339
	64,339
Less: Income tax	(8,003)
Employee's Class 1 contributions £8,000<£12,570	(0)
Net income	56,336

Lecture example 5 - Solution

(a) As a sole trader	£
Profits	150,000
Less personal allowance	(0)
Taxable income	150,000
Income tax	
37,700×20%	7,540
(125,140-37,700)×40%	34,976
(150,000-125,140)×45%	11,187
	53,703
Class 4 (50,270 － 12,570)×6%+(150,000-50,270)×2%	4,257
Total tax cost	57,960

Lecture example 5 - Solution

(b) Through a company	£
150,000 at 25%	37,500
Marginal relief (250,000 - 150,000)×3/200	(1,500)
Corporation tax	36,000
Dividend income (150,000 – 36,000)	114,000
Personal allowance 12,570-(114,000-100,000)/2	(5,570)
Taxable income	108,430
Income tax:	
500 at 0%	0
37,200 (37,700 – 500) at 8.75%	3,255
70,730 (108,430 – 37,700) at 33.75%	23,871
Income tax liability	27,126
Total tax cost (36,000 + 27,126)	63,126

Lecture example 5 - Solution

(c)	£
Through a company	63,126
Self-employed	(57,960)
Overall cost	5,166
This is £5,166 more than if Phoebe continues to trade as a sole trader.	

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谢谢观看

THANK FOR WATCHING